

## **FUND MANDATE - US GROWTH EQUITY FUND**

Fund Name: US Growth Equity Fund

Target Fund Size: USD 2.0 Billion

Fund Strategy: The fund will primarily focus on Growth Equity investments, targeting late-stage venture capital opportunities that demonstrate high growth potential and scalable business models.

Geographical Focus / Country: Primary investments will be made in US

Sector Focus: Technology

Industry : Software & IT Services

Investment Stage: Focus on companies in Series B/C funding rounds or pre Initial Public Offering (IPO) stages, where the enterprise exhibits mature business models and strong growth trajectories.

### **MANDATORY THRESHOLDS:**

- ARR Revenue: > \$40M USD
- EBITDA Margin: > 12%
- YoY Growth: > 35%
- Geography: HQ in India OR >50% India revenue

### **Additional Preferred Metrics:**

- Gross Profit Margin: > 60% (preferred for SaaS)
- Net Income: Positive (preferred, not mandatory)
- Return on Equity: > 15% (quality threshold)
- Debt to Equity: < 0.5
- P/E Ratio: < 40 (growth-adjusted)
- Price to Book: < 15
- Market Cap: > \$500M USD (institutional scale)
- Dividend Yield: Not required (growth-focused fund)

### **EXCLUDED SECTORS:**

- Gaming/Gambling

- Defense/Military
- Crypto/NFT (unless regulated)
- Consumer e-commerce

#### KEY EVALUATION CRITERIA:

- Strong governance (audit trail)
- Low revenue concentration (<30% single client)
- Proven unit economics (LTV:CAC > 3x)

#### TARGET COMPANY PROFILE:

- Enterprise Software (SaaS/CRM/ERP)
- 100-500 employees
- \$10-50M ARR trajectory
- Defensible moat (IP/contracts)

#### RED FLAGS (Auto-Reject):

- High churn (>15% monthly)
- Heavy China dependency
- Single founder dependency
- Regulatory risks (data privacy fines)

#### ASSOCIATED RISKS:

- Competitive Position : Focus on companies with strong or leading positions in their segment
- Governance Quality : Require robust governance and transparency; avoid weak governance structures
- Customer Concentration Risk : Prefer companies with diversified customer base; avoid high dependency on single clients

- Vendor / Platform Dependency : Monitor heavy reliance on third-party cloud or single vendor platforms
- Regulatory / Legal Risk : Consider exposure to data privacy, antitrust, and compliance regulations
- Business Model Complexity : Assess complexity of SaaS, multi-platform, or hybrid models; avoid overly complex structures